22. 1:30 PM CASE NUMBER: L24-00235
CASE NAME: LVNV FUNDING LLC VS. JANINAH ROMERO
***HEARING ON MOTION IN RE: TO VACATE ENTRY OF DEFAULT AND DEFAULT JUDGMENT**
FILED BY: ROMERO, JANINAH A
****TENTATIVE RULING:****

This is a debt collection action filed by a debt buyer. A default judgment was entered in December 2025 against defendant Janinah Romero. Romero now moves to vacate the default and default judgment. However, the Court can find no proof or indication that Romero's motion was served on plaintiff or its counsel. Plaintiff has filed no response to the motion and it appears likely that it is unaware of the motion.

The motion is therefore **continued** to October 7, 2026, at 9:00 a.m. Romero must file a proof of service of the motion by September 9, and plaintiff's response, if any, will be due by September 23, 2026.

23. 1:30 PM CASE NUMBER: MSC16-01426
CASE NAME: RICHMOND COMPASSIONATE VS RICH PAT GROUP
***HEARING ON MOTION IN RE: MOTION TO SELL THE BUSINESSES TO THE RECEIVER (FURTHER HEARING)**
FILED BY:
****TENTATIVE RULING:****

Plaintiff Richmond Compassionate Care Collective's motion authorizing direct sale of receivership collateral to receiver is **denied.**

The Receiver Garib Karapentyan of Capitol Compliance Management was appointed as successor receiver over some of the Defendants' businesses. The receiver is an interested party and an owner of the Plaintiff.

The receiver is seeking an order authorizing the transfer of the Defendants' businesses currently collateral in the receivership directly to Capitol Compliance Management. In exchange, the receiver proposes to extinguish his claims for all accrued and unpaid receiver compensation and the receiver's certificate no. 2. The receiver's certificate no.1 to Andrew Provencio shall remain in effect. The receiver proposes that the attorney fee lien for $5,000,000 held by the Plaintiff's attorney and any outstanding tax obligations shall be preserved. The Receiver proposed extinguishing all other claims against the collateral. The Court has also considered the alternative option where the receiver transfers the businesses to himself subject to all liens and debts.

After the first hearing, the Court issued an order denying the receiver's request to transfer the businesses to himself and extinguish most of the claims against the businesses. In that order, the Court ordered Plaintiff to provide notice to third parties that might have an interest. The Court also requested briefing on what are the various priorities here. The Court also asked, “If the Court approves a transfer of the business to the Receiver, how would these priority groups receive timely payment?” The Court has reviewed the supplemental briefings and filings.

“A receiver is an agent and officer of the court, and is under the control and supervision of the court. (Code Civ. Proc., § 568; Cal. Rules of Court, rule 3.1179.) The receiver is also a fiduciary who must act for the benefit of all parties interested in the property. (*Shannon v. Superior Court* (1990) 217 Cal.App.3d 986, 992.)” (*City of Chula Vista v. Gutierrez* (2012) 207 Cal.App.4th 681, 685.)

“[T]he advice of the receiver and his opinion in regard to the value of the property, the manner, time and place of its disposition are entitled to great respect and weight. [Citations.]” (*People v. Riverside University* (1973) 35 Cal.App.3d 572, 583.) This general rule is unlikely to apply here, where the receiver’s proposed sale to himself raises questions about self-dealing.

The receiver’s request to transfer the businesses to himself raises questions. It could presumably happen if the liabilities occurred in the receivership have been paid off, but without a plan to pay off those debts there is a potential for an inequitable result.

“Generally, the costs of a receivership are paid from the property in the receivership estate. (See *Andrade v. Andrade* (1932) 216 Cal. 108, 110; *McCarthy v. Poulsen* (1985) 173 Cal.App.3d 1212, 1219–1220, fn. 3.) However, courts may also impose the receiver costs on a party who sought the appointment of the receiver or ‘ “apportion them among the parties, depending upon circumstances.”’” (*City of Chula Vista v. Gutierrez* (2012) 207 Cal.App.4th 681, 685-686; see also *Baldwin v. Baldwin* (1947) 82 Cal.App.2d 851, 855.)

Here, the Court can charge the receivership’s fees to the Plaintiff and as such, the receiver’s offer to waive his fees in exchange for the businesses is not sufficient consideration. The Court has not received a satisfactory explanation for how priority groups would be paid and there is still significant disagreement about how the priority of the debts and liabilities are treated in regards to the other liabilities and the judgment. Without such a plan to pay off the outstanding liabilities and debts, the Court cannot permit the receivership businesses to be transferred to the receiver in exchange for a waiver of receivership compensation. This motion is denied.

Therefore, it appears that the businesses must be wound down. Ideally, the businesses would be sold as operating businesses, but if that is no longer an option (as may well be the case) then the assets of the business should be sold. To ensure fairness in the sale process, the receiver, the plaintiff, plaintiff’s attorney, any business these parties have an ownership interest in and their agents shall not be permitted to purchase the businesses or any of their assets. If the receiver believes that these prohibitions will limit the ability to sell the assets to the highest bidder, the receiver may find a neutral third party to take over the sale process and bringing a request to the Court to change this portion of the ruling.

The Court is open to suggestions, but the Court's initial plan is that once all of the assets are sold, the Court will determine the payment priorities. If there are more debts and unpaid claims incurred during the receivership than funds to pay them off entirely, then the Court will determine an equitable method for distributing payments.

The Court is also considering appointing an expert to assist the Court in determining legal priorities in this case and providing a practical solution on how to handle the various liabilities when there are insufficient funds. The Court has yet to receive a sufficient discussion, with appropriate legal citations, from the parties on priorities in a receivership.

Some priorities such as employee wages and taxes are clear. Employee wages and benefits have the highest priority and must be paid promptly. (Civil Code section 1204.) In addition, state sales taxes appear to have a superior priority and are entitled to be paid after wages. (*Stewart v. State* (1969) 272 Cal.App.2d 345, 351; Rev. & Tax Code 6756). The Court has not specifically researched the priority of federal taxes as there is no showing that those are outstanding, but case law states that a "receiver is personally liable to the United States to the extent he pays other creditors when there are debts owing to the United States…" (*Stewart, supra,* 272 Cal.App.2d 345, 348-349.)

Still, there are unanswered questions about what priority the unpaid rent belongs and how it should be treated. In addition, there are numerous other unpaid liabilities and there is a very real possibility that there will be insufficient funds to pay all receivership liabilities.

The Court is still concerned about the $400,000 payment to an attorney fee lien, rather than using those funds to pay expenses of the receivership. There is no dispute that attorney Foreman obtained a $5 million lien for attorney fees based upon the judgment against the Defendants. The Court's concern here is that there was a significant payment made towards the attorney fee lien without first satisfying the debts incurred during the receivership. In general, costs and expenses of the receivership need to be paid before the judgment is paid.

As to the $400,000 the Court has not yet seen authority that authorizes the $400,000 payment in this situation. The fact that this payment was made from an "ERC proceed" does not convince the Court that it should be treated differently from any other payment that is received during the receivership. If so, where is the legal authority supporting that position? Nor did the receiver obtain permission from the Court in advance to make a $400,000 payment. The receiver is an owner in Plaintiff and the receiver paying Plaintiff's attorney raises questions. Finally, it is not too late for the $400,000 issue to be addressed. The receiver's final accounting is served on all interested parties with unsatisfied claims. (California Rules of Court, rule 3.1184(c).) Questions on the "propriety of various expenditures and the adequacy of the inventory of property could and should have been raised as objections to the receiver's final report and account." (*Aviation Brake Systems, Ltd. v. Voorhis* (1982) 133 Cal.App.3d 230, 235.) When considering the receiver's final report, the court may also consider whether "the receiver in his personal capacity may be surcharged for losses to the receivership estate based upon his misconduct or mismanagement.” (*Aviation Brake Systems, supra,* 133 Cal.App.3d at 235.)

24. 1:30 PM CASE NUMBER: MSC16-01426
CASE NAME: RICHMOND COMPASSIONATE VS RICH PAT GROUP
HEARING IN RE: STATUS CCONFERENCE REGARDING THE RECEIVERSHIP (ALL PARTIES AND INTERESTED THIRD PARTIES MAY ATTEND)
FILED BY:
****TENTATIVE RULING:****

Continued by the Court to December 24, 2026. One week prior to the hearing, the receiver shall file a memorandum outlining the plans for the sale of the businesses and what next steps will be taken.